

Let us take an example

After COVID 19, we assume that offline education will experience a 40% decrease in its customers. As a result, we believe that online education will benefit significantly. However, once the COVID restrictions are lifted, people may prefer offline activities over online ones, which contradicts our assumption. This might have an effect one or two years from COVID.

Therefore, it is crucial to write down our psychology or thought process for future reference. We will create our investment philosophy at the time of purchasing stocks and refer them once in a few months to see if something has changed. Remember to list all your assumptions and be specific.



If our assumptions are incorrect, Our investment will give a sub-par result which is how it should be.

Here is where we should sell, even if we lose money. We will talk about when to sell in the next session.